

games (craps, blackjack, roulette), so casinos have been removing the tables to make more room for the slots. The one-armed bandit maker takes a very simple microcomputer, puts a display and coin box on it, and calls it a slot machine. If the company sold it as a computer, it would probably get \$800 for it; selling it as a slot machine, it gets \$6,000. Hence my continued affection for International Game Technology, the world leader in the manufacture of slot machines.

An ATM is a slot machine with a boring payoff.

The credit card, too, which has revolutionized consumer behavior in the last couple of decades, couldn't have existed without the changes in processing technology. A major reason consumer credit has expanded so rapidly is that you don't have to apply for a personal loan at the bank; just run up your card balance. We've owned three companies that issue credit cards: Advanta, First USA, and MBNA.

Producers of industrial products have had their lives changed by microprocessors, too, though their technology is less familiar to us. Modern electronic devices have changed the economics of the oil and gas industry, for example, by making it much cheaper for companies to find oil and gas. As accessible fields, like those in east Texas, are depleted, oil companies must either drill deeper wells or go to difficult locations like Alaska or the North Sea. You'd think the costs of finding oil would therefore rise. Instead, oil-finding costs have been going down. New technology—called 3-D seismic—allows oilmen to make images of underground structures by computerized methods very similar to the way radiologists make CAT scans of your lower back. The seismic charts can pinpoint likely oil or gas pools, so the driller can hit pay dirt with far fewer dry holes and